

**Office of the Goods & Services Tax Council**

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Connaught Place, New Delhi

File No.: 295/CommunicationwithStatesandMinistriesofGovtofIndia/GSTC/2023

Date: 25-07-2024

Subject: Advisory on Coordination Between State Tax Authorities and Central Tax Authorities in Cases of GST Evasion on Tobacco and Tobacco Products- reg.

Reference is drawn to the Central Board of Indirect Taxes and Customs (CBIC) Circular No. 1086/01/2024-CX dated 03.07.2024.

2. The Circular specifies that in cases of evasion of central excise duty/CENVAT credit and GST, two separate show cause notices are required to be issued under the respective Acts, namely the Central Excise Act, 1944, and the CGST Act, 2017. To streamline the process, both show cause notices should be adjudicated by the same adjudicating authority. Accordingly, the show cause notice issued under the Central Excise Act, 1944, will be assigned to the relevant adjudicating authority under the CGST Act, 2017, by the jurisdictional Principal Chief Commissioner/Chief Commissioner of CGST & CX.

3. It is further stated that if any case is detected by the State Tax Authorities or a show cause notice is issued by them for the demand of GST on the supply of tobacco and tobacco products, the matter should be referred to the jurisdictional Principal Commissioner/Commissioner of Central Tax & Central Excise so that the requisite investigation into the evasion of central excise duty is carried out by the Central Excise officers.

4. This is for information and necessary action as deemed fit.

5. This issues with the approval of Competent Authority, GST Council Secretariat.

RESHMA R KURUP
UNDER SECRETARY
25-07-2024

To

The CCTs of all the States.

